# V2 assumption annex — bounding the three dials that have no source

*Prepared 12 October 2026 · Policy Director · companion to V2-fiscal-model · primary sources only, all retrieved 12 October 2026 · INTERNAL — no figure in the published model is changed by this annex*

## 0. Why this annex exists

The V2 fiscal model publishes participant counts of **17 / 42 / 86** over the four-year pilot. Those counts are the product of three dials. Two of the three had no published source at all, and I said so in the model: the **veteran share** of the eligible population and the **qualifying-service share**. The third, **take-up**, you set by decision at 5 / 12 / 25%.

I have now found published Commonwealth and federal figures that bound the veteran-share dial on both sides, and that cross-check two other things the model asserts. **The finding is not that the model is wrong in method. It is that the model's veteran-share range sits at the very bottom of the defensible range, and the published mid of 42 participants is more likely a floor than a central estimate.**

> **Nothing in this annex changes a published figure.** The model, the scenario tables and the slider page all still read 17 / 42 / 86. Rebasing them moves every headline number in material that has already gone out, so it is a decision for you, not a correction I make quietly. Section 7 states the decision.

## 1. The sources, and what each one is

**Table 1 — Every source used in this annex**

| Source | What it is | Date of data |
|---|---|---|
| DHRM, *State Employee Workforce, Compensation, Health Benefits* — presentation to Senate Finance and Appropriations | Primary Commonwealth source. Slide 11 demographics, slide 12 FY25 retention measures | 30 June 2025 (presented 3 Feb 2026) |
| BLS, *Employment Situation of Veterans*, Table 2A | Primary federal source. Employment by veteran status and age | 2025 annual averages |
| BLS, same release, Table 8 | Employed veterans by class of worker | August 2025 |
| VRS, *Purchase of Prior Service — Types of Service* | The eligibility rule for active duty military service | Retrieved 12 Oct 2026 |
| VRS, *Annual Actuarial Valuation, June 30 2025*, p.50 | Age x service table for active State Employees — the model's own denominator | 30 June 2025 |
| Virginia Military Factbook, Secretary of Veterans and Defense Affairs | Military retiree count. **Dated — c.2018 data** and used only for order of magnitude | c. 2018 |

The Census ACS API now requires a registered key, which I did not create. Every figure below comes from the sources in Table 1, none of which needed an account.

## 2. Finding 1 — DHRM's 6% is a floor, not a veteran share

DHRM publishes the veteran composition of the classified state workforce as of 30 June 2025 as three numbers, and the third one is the story:

| Veteran status field | Share of classified workforce |
|---|---|
| Veteran | **6%** |
| Not a veteran | 25% |
| **Unknown** | **69%** |

**69% of the field is unknown.** So 6% is not an estimate of the veteran share of the state workforce. It is the share of the *whole* workforce that has been positively identified as veteran. The veteran share of the workforce is bounded below by 6% and above by 75%.

The useful middle reading is to assume the unknowns resemble the knowns. Among the 31% whose status is recorded, the veteran share is 6% / 31% = **19.4%**.

> **I would not take 19.4% as the central estimate, and here is the reason against my own argument.** Virginia gives veterans a hiring preference and, under DHRM Policy 4.10, service credit toward annual leave for military service. Both give a veteran a concrete reason to disclose that a non-veteran does not have. Disclosure is therefore almost certainly not random — veterans are over-represented among those who answered. That makes 19.4% a **ceiling** on the unknowns-resemble-knowns reading, not a midpoint.

**Defensible bracket for the whole classified workforce: 6% to 19.4%.** The model's dial runs 6 / 8 / 10%. Its *high* case is barely above the floor.

## 3. Finding 2 — the pathways target the one age band where veterans are most concentrated

The Retirement Bridge and the Retirement Incentive both aim at members at or near unreduced retirement. That is, deliberately, the oldest band in the plan. Veterans are not evenly spread across ages, and BLS publishes the gradient.

**Table 2 — Veteran share of the employed population by age, 2025 annual averages (BLS Table 2A, thousands)**

| Age band | Employed veterans | Employed nonveterans | Veteran share | Ratio to all ages |
|---|---|---|---|---|
| 18 and over | 8,042 | 153,469 | 4.98% | 1.00x |
| 45 to 54 | 1,830 | 30,474 | 5.66% | **1.14x** |
| 55 to 64 | 2,085 | 24,520 | 7.84% | **1.57x** |
| 65 and over | 1,120 | 10,254 | 9.85% | **1.98x** |

At ages 55 to 64 the veteran share of employed people is **7.84%** against **4.98%** across all ages — a factor of **1.57x**. At 65 and over it is 1.98x. The effect is a cohort one, not a Virginia one, and it runs in the same direction as Finding 1.

BLS Table 8 also reports that **12.9% of employed veterans work in state or local government** and 13.9% in federal government, against 67.2% in the private sector (August 2025). Veterans are over-represented in public employment relative to the workforce as a whole. I have not quantified that effect because the comparable nonveteran class-of-worker distribution is not in the same table, and I will not estimate it.

## 4. The two findings combined — and what they do to the published counts

Applying the age factor to the DHRM bracket gives the veteran share of the cohort the pathways actually reach:

**Table 3 — Age-adjusted veteran share of the target cohort**

| Reading | Workforce share | Age factor | Cohort veteran share | Participants at mid take-up |
|---|---|---|---|---|
| Model low | 6% | none applied | 6.0% | 32 |
| Model mid *(published)* | 8% | none applied | 8.0% | **42** |
| Model high | 10% | none applied | 10.0% | 52 |
| DHRM floor, conservative age band (45-54) | 6% | 1.14x | 6.8% | 36 |
| **DHRM floor, 55-64 band** | **6%** | **1.57x** | **9.4%** | **50** |
| Unknowns resemble knowns, no age factor | 19.4% | none applied | 19.4% | 102 |
| **Unknowns resemble knowns, 55-64 band — ceiling** | **19.4%** | **1.57x** | **30.5%** | **160** |

Participants scale linearly in the veteran share, so the rightmost column is simple rescaling of the published mid of 42 with take-up and qualifying-service held at mid. Read the table as a range, not as seven estimates.

> **The single sentence that matters: the model's high case of 10% is almost exactly the DHRM floor once the age band is accounted for (9.4%).** Everything above that line in Table 3 is outside the range the model currently shows. The published mid of 42 is, on these sources, between 1.2x and 3.8x too low.

## 5. Finding 3 — I had the VRS military-pension rule wrong, in two ways

I have been describing the eligibility condition as *no military pension*. The VRS rule as published says something narrower and more useful. Quoting the Types of Service page:

> *The service must be full-time service of at least 180 consecutive days, and at the time of purchase it must not* **qualify you for a military pension** *in any federally established branch of the armed services or reserve components.* **Exception:** *if you were in the U.S. Armed Forces Reserves or the National Guard,*

> *you may purchase up to 48 months of active duty military service* **even if it will be used to qualify you for a military pension.**

Two corrections follow, and they point in opposite directions.

- **The test is about the service, not the person.** It asks whether the months being purchased qualify the member for a military pension — not whether the member happens to draw one. A veteran with a military pension earned on *other* service is not automatically barred.
- **Reserve and National Guard service is expressly carved out of the test.** A Reserve or Guard member may purchase active-duty periods even where those periods count toward a reserve pension. So the rule does not exclude reserve-component retirees at all.

The practical effect is that the exclusion bites on **regular-component retirees** — the twenty-year active-duty career, whose active service is precisely what earned the pension. Virginia has an unusually large retiree population: the Virginia Military Factbook puts military retirees at **158,280** against roughly **629,500** veterans, about **25%**. The Factbook figure is c.2018 and I use it only for order of magnitude.

> **I will not put a number on this adjustment.** It removes regular-component retirees and only those, and we hold no figure for the regular/reserve split inside the Virginia state workforce. It is a real downward pressure on Findings 1 and 2 and it is unquantified. It is now a data-request item.

## 6. Two cross-checks the model has to survive, and one it currently fails

### 6.1 DHRM publishes a retirement-eligibility rate, and ours is about 1.5x it

DHRM slide 12 reports, for the classified workforce in FY25:

| DHRM FY25 retention measure | Published |
|---|---|
| Eligible to retire today | **5.1%** |
| Eligible to retire within 2 years | **9.0%** |
| Retirement rate | 0.9% |
| Turnover rate | 12.8% |
| Vacancy rate | 13.0% |

The model's own derivation says **6,253** Plan 1 and Plan 2 state employees are already beyond the unreduced threshold. That is 21.6% of the 28,994 in-scope members, and **7.7%** of all 81,274 active State Employees. DHRM publishes 5.1%. **Ours is 1.51x the Commonwealth's own published figure.**

The caveats are genuine and they do not dispose of it. DHRM's denominator is the *classified* workforce, which is not the same set as VRS-covered active State Employees — it excludes wage employees and much of higher education. DHRM does not publish whether *eligible* means unreduced or includes reduced retirement; if it includes reduced, the gap is worse, not better. Either way:

> **A hostile fiscal-note reader will find 5.1% in a Senate Finance presentation and set it against our 7.7%.** This has to be reconciled with DHRM before the fiscal note, not after. It is the one number in the model that a published Commonwealth source appears to contradict.

The *combined* reach figure survives the same test much better. Already beyond (7.7%) plus the purchasable Bridge pool of 2,396 (2.9%) is 10.6% reachable within four years, against DHRM's 9.0% within two. Those are consistent. The problem is specific to the already-eligible component.

### 6.2 DHRM's average service corroborates the derived denominator

DHRM reports average years of service of **8.5 years** and average age **46.1**. The Hybrid plan opened on 1 July 2014, so a Hybrid member holds at most about eleven years of service. An average of 8.5 years across the whole classified workforce is only possible if the workforce is heavily Hybrid-weighted.

That is independent support for the derived in-scope count of **28,994** Plan 1 and Plan 2 state employees over the earlier pro-rata estimate of about 39,000, and for the finding that state service is more Hybrid-weighted than the system as a whole. Two unrelated sources now agree.

## 7. Three Virginia figures that replace guesses in Ledger 3

The workforce ledger used assumed replacement salaries of 80 / 85 / 90% and assumed 1 / 3 / 5% of vacated posts not refilled. DHRM publishes figures that bear directly on both.

**Table 4 — What DHRM's published figures do to Ledger 3**

| DHRM figure | Value | What it does to the ledger |
|---|---|---|
| Average age of the classified workforce | 46.1 years | Baseline for the departing participant |
| **Average age of new hires and rehires** | **39.1 years** | A replacement is on average **7.0 years younger** than the person leaving. This is a Virginia source for the replacement-salary assumption, which until now was a judgment. 80-90% of the departing salary is consistent with a 7-year-younger hire; it is not generous. |
| **Vacancy rate** | **13%** | Agencies already cannot fill 13% of posts. Against that, assuming only 1-5% of *vacated* posts go unfilled is strongly conservative. The ledger understates this line. |
| Turnover rate FY25 | 12.8% | Down from 15.6% in FY21. The workforce is stabilising, so the pilot's retirements would not be lost in noise — they are measurable, which G22 needs |
| Retirement rate FY25 | 0.9% | About 731 retirements a year at this scale. A pilot of 42 over four years is roughly 1.4% of annual retirements — small enough that VRS cannot call it a demographic shock |

## 8. The hardest thing in this annex, and it is not a number

DHRM's own key messages, on the same slides, are these. I quote them because they are the argument against our bill and they come from the agency we have just written to:

> *Attracting and retaining talent is critical, ongoing focus. · Service retirements continue to be above average. · Mid-level to higher level professionals and managers. · Workforce planning and knowledge transfer critical.*

DHRM is on record that it is already losing more senior people than it wants to, that the losses are concentrated in exactly the mid-to-senior professional grades our two pathways target, and that knowledge transfer is its stated worry. **A bill whose declared purpose is to accelerate senior retirements runs straight into the Commonwealth's own published workforce concern.**

That is worth knowing before the DHRM reply arrives rather than after. Three consequences:

1. **Stop describing the workforce effect as a saving first.** Led with, it reads as headcount reduction dressed as veteran policy, and DHRM has already said that is its problem, not its goal. Ledger 3 stays in the model and stops being a selling point.
2. **Lead on succession instead.** The pilot converts unplanned, unpredictable senior attrition into a *dated, voluntary, six-month-notice* transition. A known retirement date is worth more to a workforce planner than an avoided one, and it is the only thing in this bill DHRM actually needs. G22's reporting is what proves it.
3. **Expect DHRM to be the sceptical reader, not VRS.** We built this expecting the pension cost to be the fight. On DHRM's published position, the workforce argument is the softer flank.

This does not change a goal and it does not change a figure. It changes the order of the argument in the one-pager and the advocacy brief, and both were written before I had read this slide deck.

## 9. The dial that still has no source at all

The **qualifying-service share** — of veterans in the state workforce, what fraction hold at least some active-duty service of 180+ consecutive days that is purchasable and not already purchased. The model runs it at 35 / 50 / 65%.

Nothing in this annex touches it. It remains the weakest number in the model, and as the scenario tables showed, it moves the answer more than take-up does: holding take-up at mid and sweeping this dial alone takes participants from 29 to 54. **There is no published figure, federal or Commonwealth, that bounds it.** Only VRS's own records can close it, which is why it is in the data request.

Two things now press on it in opposite directions. The 180-consecutive-day rule and the regular-component pension exclusion push it down. The Reserve and Guard carve-out in Finding 3 pushes it up, because reserve service that counts toward a reserve pension is still purchasable — a category I had wrongly assumed was excluded.

## 10. Four items for the data request, and the decision I need from you

The letters to VRS and DHRM carry thirteen items. These findings add four. The letters have not been reissued — if they have not yet gone out, say so and I will fold these in; if they have, these go in the follow-up.

**Table 5 — New data-request items**

| # | Item | Which finding it closes |
|---|---|---|
| 14 | Of the 69% of the classified workforce whose veteran-status field is unknown, is any part recoverable — from DD-214s already held for the Policy 4.10 annual-leave service credit, from the hiring-preference record, or from a one-time voluntary survey? | Finding 1. This is the single cheapest way to replace the widest assumption in the model |
| 15 | The veteran-status breakdown **by age band**, not just in total, for the classified workforce | Finding 2. Would replace the national age factor with a Virginia one |
| 16 | Of identified veteran state employees, how many hold **regular-component** military retired pay, and how many **reserve-component**? The VRS rule treats them differently | Finding 3. Currently unquantified in both directions |
| 17 | The definition behind *eligible to retire today — 5.1%* and *within 2 years — 9.0%*: unreduced only or including reduced, and over which population | Finding 6.1. Without it we cannot tell whether our 7.7% contradicts DHRM or merely measures something else |

## 11. The decision

On these sources the model's veteran-share dial of 6 / 8 / 10% is anchored at the floor of the defensible range rather than through its middle. Three ways to handle that, and they are genuinely different bets:

**Table 6 — What to do about the veteran-share dial**

| Option | What changes | The argument for it | The argument against |
|---|---|---|---|
| **(a) Leave every published figure alone.** Carry this annex as the stated limitation and let VRS's answer rebase the model once | Nothing. 17 / 42 / 86 stand | Figures that have already gone out stay stable. One rebase, on VRS's data, not two on ours. The direction of the error is conservative, which is the right direction for an advocacy model to err | We are publishing a mid case we now believe is low. If a fiscal note is built on 42 and the real number is 100, the pilot's cap and administrative estimate are both wrong |
| **(b) Rebase the dial** to roughly 9 / 15 / 30% and republish the model and scenario tables | Every headline moves. Mid goes from 42 to about 79 | The published range would then actually contain the answer | It moves figures the letters already reference, and it rests on a national age factor applied to a Virginia floor — defensible, but it is our arithmetic, not anyone's data |
| *(c) Keep the published range and add a fourth* sourced ceiling *column** alongside it | Nothing moves. One column is added everywhere | Honest about the width without destabilising anything. Shows a reader we found the ceiling ourselves | A four-case model is harder to carry into a meeting than a three-case one |

**My recommendation is (c).** The reason is G16 — one basis per figure. Option (b) would replace a stated assumption with a different assumption of our own construction and present it as an improvement; the age factor is real but it is federal, and the floor it multiplies is a Virginia artefact of a 69% unknown field. Option (a) leaves us publishing a number we no longer believe. Option (c) publishes both and names which is which, which is what G23 and G25 actually ask of us.

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*Sources, all retrieved 12 October 2026. DHRM, State Employee Workforce, Compensation, Health Benefits — presentation to the Senate Finance and Appropriations Committee, 3 February 2026, slides 10-13 (data as of 30 June 2025). U.S. Bureau of Labor Statistics, Employment Situation of Veterans — 2025, Tables 2A and 8. Virginia Retirement System, Purchase of Prior Service: Types of Service, and Cost Windows. Virginia Retirement System, Annual Actuarial Valuation, June 30 2025, p.50. Virginia Military Factbook, Secretary of Veterans and Defense Affairs (c.2018 data, used for order of magnitude only). DHRM Policy 4.10 policy guide, Veteran's Service Credit for Annual Leave.*